OTC INTERNATIONAL GmbH
versus
SENATOR (PVT) LTD

HIGH COURT OF ZIMBABWE
TAKUVA J
HARARE, 7 November 2025 & 25 February 2026

Summons Commencing Action

T S Manjengwa, for the plaintiff
E T Matinenga, R Chiota, for the defendant

TAKUVA J: This is a summons matter in which the Plaintiff claims payment from the Defendant of US$673,146.24, being the purchase price of seven (7) Yutong buses sold to the Defendant. The Plaintiff further claims interest at the rate of 8% per annum from 18 June 2015 until full payment, as well as costs of suit on the legal practitioner and client scale.

Background Facts

The Plaintiff is OTC International GmbH, a corporate entity duly incorporated in accordance with the laws of Germany, with its head office situated in Bremen, Germany. The Plaintiff's address of service for purposes of these proceedings is care of Messrs Wintertons, Harare. The Defendant is Senatar (Pvt) Ltd, a company duly registered in terms of the laws of Zimbabwe, with its registered office in Donnington, Harare, and its address of service is care of Messrs Dube-Tachiona & Tsvangirai, Bulawayo.

On 7 May 2014, the Defendant placed an order with the Plaintiff for the purchase of seven (7) Yutong buses at a total purchase price of US$673,146.24. Following the order, the Plaintiff issued a proforma invoice which was accepted by the Defendant. In terms of the invoice, payment of the purchase price was due and payable within 330 days from the date of invoice. The Plaintiff subsequently issued a formal invoice dated 23 July 2014 in the amount of US$673,146.24.

The buses were shipped from Shanghai, China to Harare, Zimbabwe via Maputo, Mozambique on 23 July 2014. The Defendant confirmed receipt of the buses in good order on 1 August 2014. Thereafter, the Defendant issued a promissory note acknowledging its

indebtedness and undertaking to pay the outstanding amount in United States Dollars on or before 18 June 2015.

Despite having taken delivery of the buses and notwithstanding its undertaking to pay, the Defendant has failed and/or neglected to settle the outstanding purchase price of US$673,146.24, despite demand. In terms of the Plaintiff's General Terms of Sale and Delivery, the Plaintiff is entitled to charge interest at 8% above the basic rate of interest from the date of default in accordance with the German Trade Code. The Plaintiff accordingly seeks payment of the outstanding capital sum together with interest and costs of suit on the legal practitioner and client scale.

The Defendant argues that the Plaintiff elected to be paid in terms of section 4(1)(e) and, having accepted RTGS payment on 5 November 2021 in the sum of $673 146.24 (converted to US$6 370.36), is bound by that election. The Defendant is of the view that Plaintiff's claim of US$589 002.96 is overstated as it fails to deduct the amount already paid, and the correct balance, if any, is US$582 632.60.

Issues for determination

1. Whether the insurance cover provided to the plaintiff and the potential that the amounts so claimed could be recovered from the insurer discharged defendant from paying the amounts being claimed.
2. In light of the provisions of SI 33/2019, is Defendant's liabilitytoPlaintiff a foreign loan or obligation and therefore exempt from1:1payment in terms of section 44 (2) (b) of the Reserve Bank of Zimbabwe Act, 5/1999 or is the liability met/payable in terms of Section 4(1) d or Section 4(1) e of the said Statutory Instrument 33/2019.

Analysis

Two principal issues arise for determination. First, whether the Plaintiff's insurance cover under an export credit guarantee scheme discharges the Defendant from liability. Secondly, whether the Defendant's liability constitutes a foreign obligation payable in foreign currency, or whether the Plaintiff elected to accept payment in local currency terms under SI 33/2019. The court shall proceed to deal with the issues separately.

1. **Whether Plaintiff's Insurance Cover Discharges Defendant's Liability**

The Defendant contends that because the Plaintiff had insurance cover under an export credit guarantee scheme administered by the German Federal Government, the Plaintiff's claim is extinguished or diminished. The Plaintiff relies on Article 10 of the insurance agreement, which provides that upon indemnification, the right to recover the claim passes to the Federal Government up to the amount of the loss borne by it.

It is important to note that the insurance agreement is a contract between the Plaintiff and the German Federal Government. The Defendant is not a party thereto. The doctrine of privity of contract remains applicable: contractual rights and obligations are enforceable only between contracting parties.

In *TBIC Investments (Pvt) Ltd & Another* v *Kennedy Mangenje & Others* SC 13/2018, the Supreme Court reaffirmed this doctrine. The court quoted the learned author Innocent Maja in his book The Law of Contract in Zimbabwe at p 27 para 1.5.3 where he explains as follows:

> "The doctrine of privity of contract provides that contractual remedies are enforceable only by or against parties to a contract, and not third parties, since contracts only create personal rights. According to Lilienthal, privity of contract is the general proposition that an agreement between A and B cannot be sued upon by C even though C would be benefited by its performance. Lilienthal further posts that privity of contract is premised upon the principle that rights founded on contract belong to the person who has stipulated them and that even the most express agreement of contracting parties would not confer any right of action on the contract upon one who is not a party to it."

Accordingly, the Defendant cannot rely on the Plaintiff's insurance arrangement as a defence to payment.

Furthermore, Article 10 of the agreement embodies the doctrine of subrogation. Subrogation does not extinguish the debtor's obligation. Rather, it allows the insurer, after indemnifying the insured, to step into the shoes of the insured and pursue recovery from the wrongdoer. Gordon & Getz in The South African Law of Insurance, fourth edition state at p 257 define the doctrine as follows -

> "Subrogation means the substitution of one person for another so that the person substituted or subrogated succeeds to the rights of the person whose place he takes. It expresses the insurer's right to be placed in the insured's position so as to be entitled to the advantage of all the latter's rights and remedies against third parties."

Critically, Article 10 only applies once indemnification has been paid. The Defendant has neither pleaded nor proved that the Plaintiff has been indemnified in full. The mere existence of insurance cover does not automatically discharge the Defendant's debt.

In addition, Article 11 expressly obliges the Plaintiff to take reasonable steps, including legal proceedings, to procure payment of the indemnified amount. This confirms that the Defendant remains liable, and the Plaintiff is entitled, indeed obliged, to pursue recovery. The court therefore finds that the Defendant's liability is not discharged by the Plaintiff's insurance cover.

2 (i). Whether the Debt is Payable in Foreign Currency or Subject to SI 33/2019 Conversion

The Plaintiff submits that the obligation is a foreign obligation denominated in United States dollars and is exempt from conversion under SI 33/2019 by virtue of section 44C(2)(b) of the Reserve Bank of Zimbabwe Act. Section 44C(2)(b) provides that:

> "Foreign loans and obligations denominated in any foreign currency shall continue to be payable in such foreign currency."

The transaction between the parties was plainly international. The Plaintiff is a German company exporting goods from abroad, while the Defendant imported the buses into Zimbabwe. Payment was due in foreign currency into foreign bank accounts held in Germany. The nature of the contract therefore gives rise to a foreign obligation.

In *Breastplate Services (Pvt) Ltd* v *Cambria Africa PLC* SC 66/20, the Supreme Court held,

> "What emerges clearly and unequivocally from s 44 C (2) (b) of the Reserve Bank Act, as read with s 4 (1) (d) of S.I. 33/19, is that foreign loans and obligations denominated in any foreign currency are excluded from the broad remit of S.I. 33/19. Thus foreign loans and obligations continue to be valued and payable in the foreign currency in which they are denominated. The term "foreign loans and obligations denominated in any foreign currency", as it appears in s 44 C (2) of the Reserve Bank Act, is not defined in S.I. 33/19 or in any other legislation that I am aware of. Its meaning in any given case must be ascertained from the factual circumstances of the parties involved and the material substance of the transactions that they have entered into."

The court must consider the factual matrix, including the parties' conduct, the intended currency of discharge, and the international character of the transaction. Applying that approach, the present claim clearly falls within the definition of a foreign obligation, and it remains payable in the currency in which it was denominated, namely United States dollars.

(ii) Defendant's Argument on Election under Section 4(1)(e)

The Defendant argues that section 44C(2)(b) is mutually exclusive with section 4(1)(e) of SI 33/2019, and that the Plaintiff elected to accept RTGS payment when it received an RTGS transfer on 5 November 2021.

The court accepts that section 44C(2)(b) and section 4(1)(e) are mutually exclusive, as noted in Breastplate Services supra. However, the mere acceptance of a partial payment in local currency does not necessarily amount to a waiver of the creditor's entitlement to foreign currency payment, particularly where the debt remains overwhelmingly unpaid.

Waiver and election must be clear, unequivocal and intentional. A creditor's acceptance of an isolated payment, especially in the context of an outstanding foreign obligation, does not automatically constitute abandonment of its rights.

The Defendant's argument would lead to an inequitable result whereby a debtor could extinguish a substantial foreign debt through minimal local currency payments. That cannot have been the intention of the legislature.

The court therefore finds that the Plaintiff did not waive its entitlement to payment in foreign currency. However, any amount already paid must be accounted for in reduction of the capital sum due.

Conclusion

The Plaintiff succeeds. The Defendant's reliance on the Plaintiff's insurance cover is misplaced, as it does not discharge the underlying debt. The transaction created a foreign obligation exempt from SI 33/2019 conversion, and the Defendant remains bound to pay in foreign currency.

Disposition

In the result, the Plaintiff has established its claim. The Defendant remains liable for the outstanding purchase price. The obligation constitutes a foreign obligation payable in United States dollars in terms of section 44C(2)(b) of the Reserve Bank Act. The Defendant is entitled only to credit for the partial payment made on 5 November 2021.

It is accordingly ordered that;

1. Defendant is to pay Plaintiff the sum of US$589,002.96 less the equivalent of US$6,370.36 paid on 5 November 2021, being the outstanding balance of the purchase price.
2. Interest on the outstanding balance at the rate of 8% per annum from 18 June 2015 to the date of full payment.

3. Defendant to pay costs on an ordinary scale.

TAKUVA J:…….

Wintertons, plaintiff's legal practitioners
Dube-Tachiona & Tsvangirai Legal Practitioners,defendant's legal practitioners